

JCET - A

Solid 2Q26 with margin upside ahead; advanced packaging underpins long-term growth

JCET delivered a solid 2Q26, with revenue of Rmb10.4bn (+12% YoY) and net profit of Rmb554mn (+107% YoY), thanks to strong demand and tight supply-led price hikes. Looking ahead, we expect resilient demand and elevated utilization to support further margin expansion in 2H26. Meanwhile, AI-related sales have risen to 30% of the total, and accelerated capex in 2.5D/3D advanced packaging should reinforce the long-term growth narrative and underpin a valuation re-rating. We now model a 18%/48% sales/earnings CAGR during 2026-28E. Our new Dec-27 PT of Rmb115.0 is based on a 40x one-year forward P/E.

- **Solid 2Q26 results.** JCET reported 2Q26 sales of Rmb10.4bn (+13%/12% QoQ/YoY) and net profit of Rmb554mn (+91%/107% QoQ/YoY). Gross margin expanded by 1.1/1.4ppts QoQ/YoY, as tight supply drove price increases that offset the negative impact of depreciation and raw material costs; operating margin improved by 2.2/2.0ppts QoQ/YoY despite elevated R&D expenses.
- **Resilient demand and elevated utilization to support margin upside in 2H26.** We believe domestic foundries' record high 2Q26 sales and solid 3Q26 guidance indicate strong order book for downstream OSAT players into 2H26 ([link](#)). We therefore expect further margin expansion in 2H26, supported by full utilization of domestic facilities, rapidly improving utilization overseas, and a more favorable product mix.
- **AI exposure as a valuation driver.** JCET's AI related sales exposure (computing, memory, power, etc.) rose to 30% of total sales in 1H26 (+40% YoY), up from 21% in 2025. Specifically, JME, its dedicated advanced-packaging factory, grew revenue ~4x YoY to Rmb212mn in 1H26, while its net loss narrowed by 30% to Rmb89mn. The company spent c.Rmb4.7bn Capex in 1H26 (up 78% YoY), and we see upside to the Rmb10bn investment planned for the year. Most of this spending should contribute to the sales/earnings potential of 2.5D/3D advanced packaging in the future, reinforcing the long-term narrative and supporting a valuation re-rating.
- **Reiterate OW.** We raise our 2026/27E earnings by 10%/8% to reflect a better margin trajectory, and model a 48% earnings CAGR over 2026-28E. We lift our Dec-27 PT to Rmb115.0, based on an unchanged 40x one-year forward P/E (around +1 STD above historical valuation and on par with the A-share peer average).

Overweight

600584.SS, 600584.CH

Price (24 Aug 26): Rmb73.80

▲ **Price Target (Dec-27): Rmb115.00**
Prior (Dec-27): Rmb110.00

China

Technology

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 26E (Rmb mn)	44,876	46,085	2.7%
Revenue - 27E (Rmb mn)	52,944	56,078	5.9%

Quarterly Forecasts (FYE Dec)

Revenue (Rmb mn)	2025A	2026E	2027E
Q1	9,335	9,171A	10,993
Q2	9,270	10,356A	13,340
Q3	10,064	13,137	16,080
Q4	10,202	13,420	15,665
FY	38,871	46,085	56,078

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	66	60	56	45	53
Growth	61	81	68	27	13
Momentum	9	61	89	77	17
Quality	76	76	72	71	69
Low Vol	83	55	57	46	81
ESGQ	23	91	16	92	-

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



— 600584.SS Price (Rmb) SSEA (rebased)

	YTD	1m	3m	12m
Abs	100.6%	-11.0%	1.3%	90.0%
Rel	102.8%	-12.7%	6.9%	90.0%

Company Data

Shares O/S (mn)	1,789
52-week range (Rmb)	113.87-34.58
Market cap (\$ mn)	19,647
Exchange rate	6.72
Free float (%)	73.5%
3M ADV (mn)	210.54
3M ADV (\$ mn)	2,642.5
Volatility (90 Day)	91
Index	SHASHR
BBG ANR (Buy Hold Sell)	21 2 0

Key Metrics (FYE Dec)

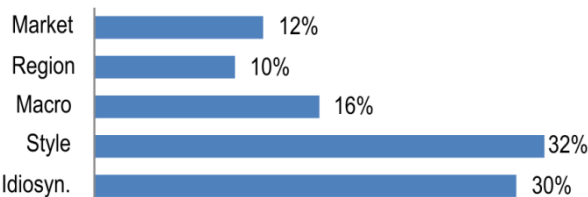
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	38,871	46,085	56,078	64,057
Adj. EBIT	1,802	2,805	4,292	5,583
Adj. EBITDA	5,817	6,983	9,080	11,003
Adj. net income	1,565	2,469	3,937	5,105
Adj. EPS	0.87	1.38	2.20	2.85
BBG EPS	0.87	1.25	1.75	2.24
Cashflow from operations	4,652	8,789	9,157	9,969
FCFF	(1,646)	(1,822)	170	977
Margins and Growth				
Revenue Growth Y/Y (%)	8.1%	18.6%	21.7%	14.2%
EBIT margin	4.6%	6.1%	7.7%	8.7%
EBIT Growth Y/Y (%)	9.0%	55.7%	53.0%	30.1%
EBITDA margin	15.0%	15.2%	16.2%	17.2%
EBITDA Growth Y/Y (%)	12.3%	20.1%	30.0%	21.2%
Net margin	4.0%	5.4%	7.0%	8.0%
Adj. EPS growth	(2.8%)	57.7%	59.5%	29.6%
Ratios				
Adj. tax rate	9.7%	9.3%	10.0%	10.0%
Interest cover	19.4	26.3	30.8	40.7
Net debt/Equity	0.1	0.1	0.1	0.1
Net debt/EBITDA	0.7	0.5	0.4	0.4
ROE	5.6%	8.3%	12.2%	14.3%
Valuation				
FCFF yield	(1.2%)	(1.4%)	0.1%	0.7%
Dividend yield	0.5%	0.2%	0.6%	0.9%
EV/Revenue	3.6	3.0	2.5	2.2
EV/EBITDA	23.8	19.8	15.3	12.6
Adj. P/E	84.4	53.5	33.5	25.9

Summary Investment Thesis and Valuation

We are confident about the company's long-term growth potential to capture surging AI demand domestically and globally, thanks to its technology leadership and global production sites. Meanwhile, high utilization and price hikes could mitigate near-term margin pressure from increasing depreciation. We model a 18%/48% sales/earnings CAGR over 2026-28E.

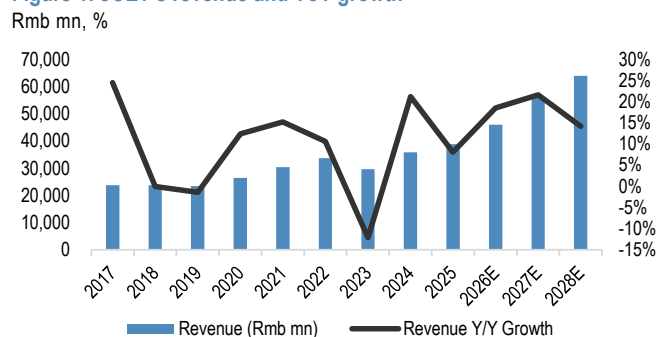
Our Dec-27 PT of Rmb115 is based on a 40x one-year forward P/E, close to +1STD of the historical average valuation, to reflect upside potential from ramping-up of the AI-related advanced packaging business.

Performance Drivers



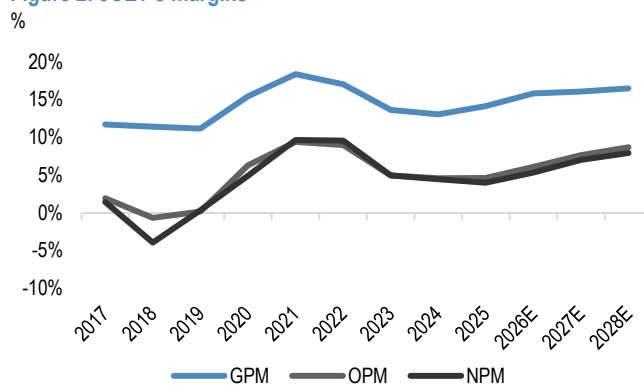
Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.32	0.33
Region: China	-0.48	-0.29
Macro:		
Citi Economic Surprise - EM	-0.42	-0.41
Markit EM Composite PMI SA	0.22	0.20
Emerging Economies CPI(YoY)	-0.21	-0.19
Quant Styles:		
Momentum	0.64	0.62
Value	-0.58	-0.60
DivYld	-0.57	-0.59

Figure 1: JCET's revenue and YoY growth



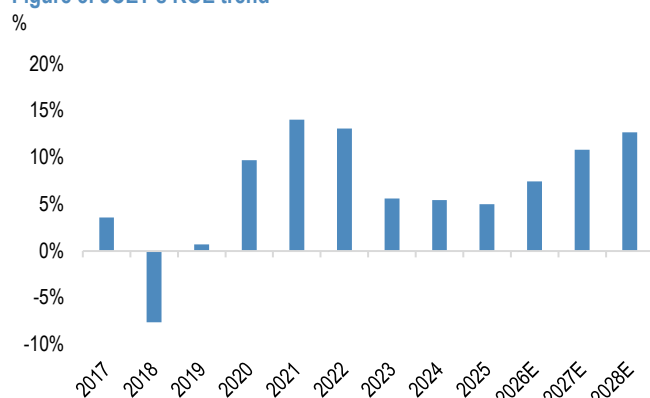
Source: JCET (Annual Reports, 2017-2025), J.P. Morgan estimates.

Figure 2: JCET's margins



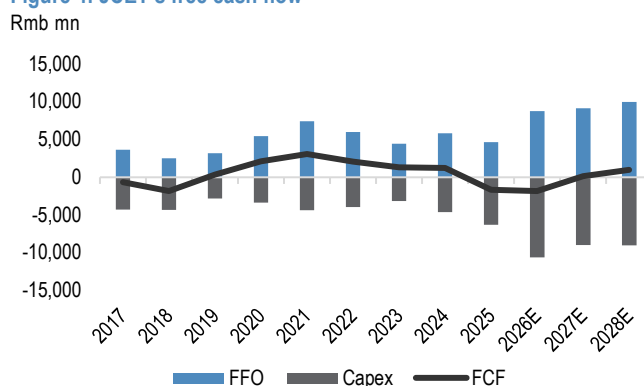
Source: JCET (Annual Reports, 2017-2025), J.P. Morgan estimates.

Figure 3: JCET's ROE trend



Source: JCET (Annual Reports, 2017-2025), J.P. Morgan estimates.

Figure 4: JCET's free cash flow



Source: JCET (Annual Reports, 2017-2025), J.P. Morgan estimates.

Table 1: Forecast changes

Rmb mn	New			Old			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	46,085	56,078	64,057	44,876	52,944	61,195	3%	6%	5%
Growth	19%	22%	14%	15%	18%	16%			
Gross profit	7,303	9,029	10,582	6,759	8,322	10,078	8%	9%	5%
GPM %	15.8%	16.1%	16.5%	15.1%	15.7%	16.5%			
Operating profit	2,805	4,292	5,583	2,456	4,018	5,348	14%	7%	4%
OPM %	6.1%	7.7%	8.7%	5.5%	7.6%	8.7%			
Net profit	2,469	3,937	5,105	2,253	3,650	4,896	10%	8%	4%
NPM %	5.4%	7.0%	8.0%	5.0%	6.9%	8.0%			

Source: J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

JCET - A (Overweight; Price Target: Rmb115.00)

Investment Thesis

We are confident about the company's long-term growth potential to capture surging AI demand domestically and globally, thanks to its technology leadership and global production sites. Meanwhile, high utilization and price hikes could mitigate near-term margin pressure from increasing depreciation. We model a 18%/48% sales/earnings CAGR over 2026-28E.

Valuation

Our Dec-27 PT of Rmb115 is based on a 40x one-year forward P/E, close to +1STD of the historical average valuation, to reflect upside potential from ramping-up of the AI-related advanced packaging business.

Risks to Rating and Price Target

Downside risks include:

- Worse-than-expected demand for smartphones and other consumer electronics.
- Raw material (substrates, etc.) supply shortages due to insufficient logistics.
- Intensifying competition in traditional packaging, impacting profitability.

Upside catalysts include:

- Better-than-expected downstream demand to improve operating leverage.
- A faster-than-expected ramp-up or revenue generation of new business.
- A loosening of regulatory controls on leading-edge products.

JCET - A: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	35,962	38,871	46,085	56,078	64,057	Revenue	9,171	10,356	13,137	13,420	
COGS	(31,266)	(33,372)	(38,782)	(47,049)	(53,475)	COGS	(7,837)	(8,732)	(11,023)	(11,190)	
Gross profit	4,696	5,499	7,303	9,029	10,582	Gross profit	1,334	1,624	2,114	2,231	
SG&A	(1,178)	(1,403)	(1,774)	(1,842)	(1,991)	SG&A	(389)	(388)	(486)	(510)	
Adj. EBITDA	5,180	5,817	6,983	9,080	11,003	Adj. EBITDA	1,400	1,680	1,894	2,009	
D&A	(3,527)	(4,015)	(4,178)	(4,788)	(5,420)	D&A	(1,031)	(1,031)	(1,036)	(1,080)	
Adj. EBIT	1,653	1,802	2,805	4,292	5,583	Adj. EBIT	369	649	858	929	
Net Interest	(186)	(300)	(265)	(295)	(271)	Net Interest	(73)	(63)	(60)	(69)	
Adj. PBT	1,649	1,738	2,706	4,358	5,655	Adj. PBT	305	588	843	969	
Tax	(37)	(168)	(253)	(436)	(565)	Tax	(26)	(45)	(84)	(97)	
Minority Interest	(2)	(5)	16	16	16	Minority Interest	11	11	0	(7)	
Adj. Net Income	1,610	1,565	2,469	3,937	5,105	Adj. Net Income	290	554	759	865	
Reported EPS	0.90	0.87	1.38	2.20	2.85	Reported EPS	0.16	0.31	0.42	0.48	
Adj. EPS	0.90	0.87	1.38	2.20	2.85	Adj. EPS	0.16	0.31	0.42	0.48	
DPS	0.32	0.33	0.16	0.41	0.66	DPS	0.03	0.13	0.00	0.00	
Payout ratio	36.0%	38.0%	11.9%	18.8%	23.1%	Payout ratio	20.0%	42.7%	0.0%	0.0%	
Shares outstanding	1,789	1,789	1,789	1,789	1,789	Shares outstanding	1,789	1,789	1,789	1,789	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	9,342	5,575	4,476	4,021	2,575	Gross margin	13.1%	14.1%	15.8%	16.1%	16.5%
Accounts receivable	5,795	6,072	6,442	7,519	8,941	EBITDA margin	14.4%	15.0%	15.2%	16.2%	17.2%
Inventories	3,792	3,811	4,923	4,209	5,686	EBIT margin	4.6%	4.6%	6.1%	7.7%	8.7%
Other current assets	3,262	4,242	4,346	4,393	4,420	Net profit margin	4.5%	4.0%	5.4%	7.0%	8.0%
Current assets	22,192	19,700	20,187	20,142	21,621	ROE	6.0%	5.6%	8.3%	12.2%	14.3%
PP&E	24,510	27,403	34,265	38,403	41,889	ROA	3.3%	2.9%	4.2%	6.1%	7.3%
LT investments	821	1,173	1,122	1,141	1,117	ROCE	4.3%	4.2%	6.6%	9.6%	11.6%
Other non current assets	6,536	7,240	7,223	7,335	7,471	SG&A/Sales	3.3%	3.6%	3.8%	3.3%	3.1%
Total assets	54,060	55,517	62,798	67,020	72,098	Net debt/equity	0.1	0.1	0.1	0.1	0.1
Short term borrowings	5,536	5,103	4,359	4,559	4,359	P/E (x)	82.0	84.4	53.5	33.5	25.9
Payables	7,059	7,432	11,190	11,573	13,517	P/BV (x)	4.8	4.6	4.3	3.9	3.5
Other short term liabilities	2,693	2,604	3,059	3,516	3,942	EV/EBITDA (x)	26.5	23.8	19.8	15.3	12.6
Current liabilities	15,288	15,139	18,607	19,649	21,818	Dividend Yield	0.4%	0.5%	0.2%	0.6%	0.9%
Long-term debt	7,003	4,395	3,483	3,483	2,483	Sales/Assets (x)	0.7	0.7	0.8	0.9	0.9
Other long term liabilities	2,226	4,694	7,537	7,537	7,537	Interest cover (x)	27.8	19.4	26.3	30.8	40.7
Total liabilities	24,517	24,229	29,628	30,669	31,839	Operating leverage	59.0%	111.2%	300.0%	244.4%	211.3%
Shareholders' equity	27,619	28,671	30,569	33,765	37,689	Revenue y/y Growth	21.2%	8.1%	18.6%	21.7%	14.2%
Minority interests	1,924	2,617	2,601	2,586	2,570	EBITDA y/y Growth	5.7%	12.3%	20.1%	30.0%	21.2%
Total liabilities & equity	54,060	55,517	62,798	67,020	72,098	Tax rate	2.2%	9.7%	9.3%	10.0%	10.0%
BVPS	15.44	16.02	17.08	18.87	21.06	Adj. Net Income y/y Growth	9.4%	(2.8%)	57.7%	59.5%	29.6%
y/y Growth	6.0%	3.8%	6.6%	10.5%	11.6%	EPS y/y Growth	9.4%	(2.8%)	57.7%	59.5%	29.6%
Net debt/(cash)	3,197	3,924	3,366	4,021	4,267	DPS y/y Growth	(7.6%)	2.7%	(50.5%)	151.4%	59.5%
Cash flow from operating activities	5,834	4,652	8,789	9,157	9,969						
o/w Depreciation & amortization	3,527	4,015	4,178	4,788	5,420						
o/w Changes in working capital	704	(991)	2,626	432	(556)						
Cash flow from investing activities	(6,262)	(9,056)	(10,332)	(9,055)	(9,018)						
o/w Capital expenditure	(4,591)	(6,298)	(10,611)	(8,987)	(8,992)						
as % of sales	12.8%	16.2%	23.0%	16.0%	14.0%						
Cash flow from financing activities	2,414	732	529	(556)	(2,397)						
o/w Dividends paid	(580)	(596)	(295)	(741)	(1,181)						
o/w Net debt issued/(repaid)	4,546	(891)	915	200	(1,200)						
Net change in cash	2,017	(3,767)	(1,099)	(455)	(1,446)						
Adj. Free cash flow to firm	1,243	(1,646)	(1,822)	170	977						
y/y Growth	(5.0%)	(232.4%)	10.7%	(109.3%)	474.5%						

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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JCET - A (600584.SS, 600584 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
05-Sep-23	OW	33.62	38
28-Aug-24	OW	30.10	43
27-Aug-25	N	38.99	43
28-Oct-25	N	42.09	45
16-Jun-26	OW	74.32	110

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 26, 2021. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
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IB clients**	95%	92%	87%

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